

of questions over the divergence between GDP and GVA growth rates as well as the high discrepancies that arise.

The revisions were last carried out in 2014-15 when 2011-12 was made the base year. It is being updated to 2022-23 in the new series for GDP and IIP and to 2024 for CPI. Apart from this, the sectors and the basket of items that are used for computation are also being updated with more data sources becoming available. These are expected to capture new economic activities such as gig economy and e-commerce as well as consumption and manufacturing patterns, providing a more accurate picture of the economy.

Additionally, the Ministry of Commerce and Industry is working on updating the WPI on new data sources, including the Producer Price Index and the Services Price Index.

THE GREAT RESET

64 | At present, more than 300 datasets are used for compiling India's GDP estimates. These include administrative data, survey results, financial accounts, and sectoral data, says Garg. During a base revision, each of these datasets is reviewed, validated, and updated, he says, adding that new data sources are explored and incorporated as well.

The current GDP base year revision will incorporate the latest surveys such as the Annual Survey of Unincorporated Sector Enterprises (ASUSE), Periodic Labour Force Survey, Public Finance Management System as well as HCES and administrative data from GST, Ministry of Corporate Affairs, and E-Vahan. It will also reflect methodological improvements in estimation and deflation.

MoSPI also plans to use single extrapolation or double deflation, wherever feasible, to arrive at constant price estimates; use deflators at a more disaggregated level and update rates and ratios from different studies covering fodder, fisheries, milk and its products, construction, and road transport. It is hoping to do away with statistical discrepancies between production and expenditure estimates by publishing supply and use tables (SUTs).

The revision of the CPI base year to 2024 depended heavily on the HCES. The upcoming revision is expected to increase the number of items in the CPI basket and update weight structures.

Importantly, apart from data from physical outlets, prices will also be taken from e-commerce platforms in 12 cities with a population of over 2.5 million as per the Census of 2011. The MoSPI is also coordinating with

IN THE WORKS

► The MOSPI has launched new surveys on migration and education

► It has proposed faster timelines for IIP, monthly unemployment data from PLFS to give a clearer picture

► It is also conducting a base revision of the WPI and updating the basket; work on a producer price index is also underway

► Census 2027 to give more granular data, to be followed by Economic Census



the railway ministry for rail fares, petroleum and natural gas ministry for fuel prices and the department of posts for postal tariffs. Additionally, it plans to compile price data for airfare, telecom services and OTT platforms from online sources.

The revised IIP series will also be aligned with the national accounts framework, improving coherence between short-term industrial indicators and GDP estimates. At present, the IIP is compiled using production data from 14 sources, covering 407 items or item groups across sectors. The item basket, which is derived from the Annual Survey of Industries, is being updated. Outdated products will be removed, while